
Business Requirements Document (BRD)

User Engagement & Listening Time — Spotify India

Field	Detail
Document	Business Requirements Document (BRD) — Problem Definition
Initiative	Increasing user engagement and time spent listening in the Indian market
Milestone	Milestone 2 (builds on Milestone 1: market, competitor & user research)
Version	1.0 — Draft for Review
Date	August 2026
Prepared by	Juhi Bhalla — Business Analyst / Product
Audience	Design, Engineering, Data/Analytics, Strategy & Leadership
Status	Problem framing only — no solutions or features proposed at this stage

*Note on data: Quantitative market context below is directional and drawn from public industry sources (see §15 References). Specific baselines, targets, and figures marked **[M1]** should be populated from the reader's Milestone 1 research and cited accordingly. This document defines the problem, scope, and business framing only; it does **not** propose solutions or features.*

1 Executive Summary (Snapshot)

India is one of Spotify's largest markets by users yet among its lowest by revenue per user, making **engagement** — specifically **time spent listening** — the pivotal lever for the business. Time spent listening is a leading indicator of retention and, in turn, of monetization: on the free/ad-supported tier it determines ad inventory and impressions, and on premium it shapes perceived value, conversion, and lifetime value (LTV).

Despite rapid growth in India's streaming ecosystem, Spotify India faces a distinct engagement challenge shaped by price sensitivity, deep regional-language diversity, data-cost and device constraints, heavy reliance on the free tier, and intense competition (JioSaavn, Wynk Music, YouTube Music, Apple Music, Amazon Music, and free YouTube itself). The result is listening time and stickiness that under-index against the market's potential (IFPI; FICCI-EY; RedSeer). **[M1: insert Spotify India engagement / listening-time findings]**

Problem statement (framing). Spotify India is not fully converting its large, young, mobile-first audience into *habitual, high-time listeners*. This BRD defines the engagement / listening-time problem space — goals, target users, challenges, requirements, success measures, and constraints — so that design, engineering, and strategy teams can align on *what* must be solved and *why*, before any solution is designed.

This document applies business-outcome vs product-outcome thinking, a KPI tree linking listening time to retention and monetization, user segmentation and personas (urban/rural, free/premium, Gen Z/millennial, language), Jobs-to-be-Done, journey mapping, and explicit assumption/hypothesis framing.

2 Project Description

Purpose. To structure the understanding gathered in Milestone 1 into a shared problem definition for Spotify India's user engagement and listening-time challenge, enabling cross-functional alignment before solutioning.

Background. Spotify launched in India in February 2019 into a market transformed by cheap mobile data (post-2016) and a mobile-first, video-and-audio consumption culture in which free platforms — notably YouTube — are dominant music-discovery surfaces. India's recorded-music consumption is overwhelmingly streaming-led and heavily ad-supported, with comparatively low paid-subscription penetration and low ARPU (IFPI Global Music Report; FICCI-EY M&E Report). Regional-language repertoire (Hindi and a wide range of regional languages) drives the majority of consumption.

The problem in focus. Engagement — and its clearest proxy, *time spent listening* per active user — is under-realized relative to the size and youth of the audience. Because engagement feeds retention, and retention feeds monetization, small improvements in listening time compound into meaningful business impact.

Business outcomes vs product outcomes. The two must be distinguished so teams optimise the right things:

Business Outcomes (the 'why')	Product Outcomes (the measurable 'how')
Revenue growth (ad + subscription); higher ARPU; reduced churn; increased customer lifetime value (LTV); market-share gains; stronger unit economics in a low-ARPU market.	Higher time spent listening per active user; DAU/MAU stickiness; more sessions/day and longer sessions; higher discovery→save→repeat rates; stronger D1/D7/D30 retention; free→premium conversion.

Guiding principle. Product outcomes (e.g., listening time) are the instruments; business outcomes (e.g., LTV, retained revenue) are the goals. This BRD keeps the two explicitly linked via the KPI tree in §10.

3 Project Scope

In-Scope	Out-of-Scope
- Defining the engagement / listening-time problem for the Indian market. - Both free/ad-supported and premium tiers. - Mobile-first experience (the dominant access mode). - User segmentation, personas, journeys & Jobs-to-be-Done. - Problem-focused functional & non-functional requirements. - Success criteria, KPI tree, assumptions & constraints.	- Designing solutions, features, or UI (deferred to later PRD/design phases). - Pricing/packaging changes and content-licensing negotiations. - Markets outside India. - Backend re-architecture or platform build decisions. - Marketing-campaign creative or media planning. - Vendor/tooling selection.

Scope rationale. Per the brief, this milestone deliberately stops at problem definition. Constraining scope to ‘what and why’ prevents premature solutioning and keeps design, engineering, and strategy anchored to the same problem statement.

4 Business Drivers

The following forces make the engagement / listening-time problem urgent and strategically important now:

Driver	Why it matters
Market size & growth	India offers one of the largest addressable streaming audiences globally, expanding with smartphone and data penetration — a strategic growth market for Spotify. [M1: market size / growth figures]
Low ARPU / monetization pressure	A predominantly free, ad-supported, price-sensitive base means revenue per user is low; engagement (listening time) is the primary way to grow both ad inventory and premium value (IFPI; FICCI-EY).
Retention economics	Acquisition is comparatively cheap but fragile; without habitual listening, users churn to free alternatives. Retained, engaged users are the compounding source of LTV.
Competitive intensity	JioSaavn, Wynk, YouTube Music, Apple/Amazon Music and free YouTube compete for the same attention and time. Time spent is effectively a share-of-ear battle. [M1: competitor benchmarks]
Ad + subscription revenue linkage	Ad revenue scales with time spent (impressions/fill); subscription value and conversion scale with perceived, habitual usefulness — both hinge on listening time.
Strategic importance of India	India is central to Spotify’s long-term user-growth story; solving engagement here materially affects global scale narratives.

5 Current Process — Engagement Patterns & Listening Behaviors

This section describes the *current state* of how Indian users engage with Spotify (and streaming broadly), synthesised from Milestone 1 and public sources. It is descriptive, not evaluative of solutions.

5.1 Observed engagement patterns

- **Free-tier dominance & price sensitivity** — a large majority of Indian listeners use free/ad-supported tiers; willingness to pay is constrained by disposable income and abundant free alternatives. **[M1: free vs premium split]**
- **Mobile-first, budget-device reality** — usage is overwhelmingly on Android smartphones spanning a wide range of price/performance, often on constrained data plans and variable connectivity.
- **Background & context-driven listening** — commuting, working/studying, chores, workouts, sleep, and social/sharing moments; music is frequently a companion activity rather than the focus.
- **Regional-language centrality** — consumption skews to Hindi and regional-language repertoire; relevance of recommendations to a user's language(s) strongly shapes satisfaction.
- **Discovery friction** — when recommendations/editorial do not reflect local tastes, moods, or languages, users fall back to manual search, known songs, or competitors, shortening sessions.
- **Competition with free video/audio** — YouTube's free, ad-supported catalogue is a default music surface for many, setting a high bar for 'free enough, relevant enough'.

5.2 User segments (Indian market)

Segment axis	Sub-segments & engagement implications
Geography	Urban (higher connectivity, English + Hindi + regional, more premium propensity) vs Rural / Tier 2–3 (data-cost sensitive, regional-language-first, offline needs).
Tier	Free/ad-supported (majority; interruption-tolerant, conversion-cautious) vs Premium (expect frictionless, high-relevance, offline).
Generation	Gen Z (short-form, social, trend- and mood-led) vs Millennials (playlist- and habit-led, nostalgia, podcasts).
Language	Hindi-first, Regional-language-first (e.g., Tamil, Telugu, Punjabi, Bengali, etc.), and English/global — each with distinct discovery expectations.
Usage context (JTBD)	Commute, focus/work, workout, devotional, party/social, sleep — each a 'job' the user hires music for.

5.3 Representative personas (illustrative; refine with M1 data)

Persona	Profile	Job-to-be-Done (JTBD)	Key engagement pain points
Aditya Gen Z, Urban, Free	21, college, metro; budget Android; capped data; Hindi + English + trending.	"When I'm commuting or hanging out, I want effortless, trend-right music so I can vibe without searching."	Recos feel generic/global; free-tier friction; discovery effort; drifts to YouTube/Reels.
Meera Millennial, Tier-2, Free→?	29, working professional, Tier-2 city; regional-language-first; data-cost aware.	"When I work or do chores, I want familiar regional music that just plays, using little data."	Regional relevance gaps; data/offline concerns; unclear premium value; short sessions.
Rohan Millennial, Urban, Premium	34, urban professional; multi-device; podcasts + curated playlists; time-poor.	"When I focus or unwind, I want reliable, high-relevance listening across my devices without fiddling."	Relevance drift lowers stickiness; cross-context continuity; perceived value vs price.

5.4 User journey & pain points (where listening time leaks)

Journey stage	What happens today	Engagement pain / leak
Acquisition & onboarding	User installs, signs up (often free); minimal taste/ language capture.	Weak early personalisation → low first-session relevance.
First-session discovery	User seeks something to play; relies on search or generic recos.	Effort & mismatch → short first session, weak habit seed.
Habitual listening	Returns for specific contexts (commute, work); expects effortless relevance.	Relevance/continuity gaps → fewer, shorter sessions.
Free-tier experience	Encounters ads/limits; compares with free alternatives.	Friction vs 'good-enough free' elsewhere → substitution.
Retention / churn	Continues, lapses, or switches based on accumulated value.	Low accumulated listening time → churn & weak conversion.

6 Proposed Process — Framing the Engagement Problem

Per the brief, this section reframes the challenge as a problem to be solved — it does **not** prescribe features or solutions. The intent is to give teams a shared, testable framing.

Reframe. The objective is not ‘add features’ but to *increase meaningful time spent listening* by reducing friction across four problem dimensions: **(1) Relevance** (right content for language, mood, context), **(2) Access** (data-, device-, and connectivity-friendly), **(3) Habit** (frequency and continuity of listening), and **(4) Value** (worth of free and premium experiences).

6.1 Problem statements by segment (to be validated)

- **Free / Gen Z / Urban:** effort and generic relevance suppress session length and frequency, ceding time to free video/social alternatives.
- **Free / Regional / Tier-2–3:** regional-language relevance and data/connectivity concerns limit habitual, low-friction listening.
- **Premium / Urban:** relevance drift and cross-context continuity gaps weaken stickiness and the felt value that justifies paying.

6.2 Assumptions & hypotheses (framing, not conclusions)

ID	Hypothesis (to test)	If true, we'd expect...
H1	Higher recommendation relevance to language/mood/context increases session length.	↑ avg session minutes; ↑ discovery→save→repeat.
H2	Lower access friction (data/offline/low-end performance) increases session frequency.	↑ sessions/day; ↑ D7/D30 retention in Tier-2–3.
H3	Stronger early-session personalisation seeds durable habit.	↑ week-1 listening time; ↑ D30 retention.
H4	Perceived value gaps (free and premium) cap conversion and listening time.	↑ free→premium conversion when value is felt; ↓ churn.

These hypotheses are the bridge to Milestone 3 discovery/validation; they are stated here only to make the problem framing explicit and falsifiable.

7 Functional Requirements (Problem-Focused)

Stated as *capability needs / problems the eventual solution must address* — not as features. Each is a requirement of the problem space.

ID	Problem-focused functional requirement	Relates to
FR1	The experience must address users' need to find content relevant to their language(s), mood, and context with minimal effort.	Relevance
FR2	The experience must address the need to sustain and resume listening across contexts and devices (continuity).	Habit / Access
FR3	The experience must address data-, connectivity-, and device-efficiency needs of cost-sensitive, budget-device users.	Access
FR4	The experience must address the need for a free-tier value proposition competitive with 'good-enough free' alternatives.	Value
FR5	The experience must address the need for relevant discovery at first session to seed habit (early personalisation).	Habit / Relevance
FR6	The business must be able to measure engagement (listening time, sessions, retention) reliably by segment to manage the problem.	Measurement

ID	Problem-focused functional requirement	Relates to
FR7	The experience must address the need for content breadth & freshness across regional languages and use-case contexts.	Relevance

8 Non-Functional Requirements

Category	Requirement (problem constraint)
Performance	Smooth playback, fast search/recommendation response, and low startup latency on low-to-mid-range Android devices .
Data efficiency	Efficient streaming and caching to respect constrained/expensive data ; graceful behaviour on low bandwidth.
Reliability / availability	High availability and resilience under variable connectivity; consistent behaviour offline/online.
Localization	Multi-language UI and content metadata across Hindi and major regional languages; culturally relevant editorial.
Scalability	Handle very large, multi-source datasets and peak concurrency (festivals, releases, sale events) without degradation.
Accessibility & inclusivity	Usable across literacy levels, device classes, and first-time-internet users.
Privacy & compliance	Adhere to applicable Indian data-protection and content regulations; transparent data use.
Measurability	Instrumentation to capture engagement metrics accurately and consistently by segment for ongoing management.

9 Assumptions & Constraints

9.1 Assumptions

- Milestone 1 findings on the Indian market, competitors, and user behaviour are valid inputs to this framing. **[M1]**
- The free/ad-supported tier will remain the primary entry point for most Indian users in the near term.
- Regional-language relevance and data/device affordability are material drivers of engagement.
- Time spent listening is an accepted leading indicator of retention and monetization for this business.
- Mobile (Android) remains the dominant access mode.

9.2 Constraints

- **Commercial:** low ARPU and price sensitivity limit monetization headroom.
- **Technical:** device, bandwidth, and connectivity variability across geographies.
- **Content/licensing:** catalogue depth/rights vary by language and label (out of scope to change here).
- **Competitive:** free alternatives (esp. YouTube) set a high 'good-enough' baseline.
- **Regulatory:** evolving Indian data-protection and content norms.
- **Organisational:** cross-functional, matrixed delivery across time zones; this milestone is framing-only.

10 Success Criteria & KPIs (KPI Tree)

Success is framed around a **North Star** product metric that is causally linked to business outcomes. Targets are directional and must be baselined from Milestone 1 **[M1]**.

North Star Metric: Time Spent Listening — average meaningful listening minutes per active user per day (by segment).

10.1 KPI tree (listening time → retention → monetization)

Level	Metric	Links to
North Star	Time spent listening / active user / day (by segment)	Retention & monetization

Level	Metric	Links to
Input drivers	Sessions per user/day • Avg session length • Discovery→play→save→repeat rate • Continuity (resume, cross-device, offline)	North Star
Engagement / retention	DAU/MAU stickiness • D1 / D7 / D30 retention • active days/month • churn rate	Product outcome
Monetization (Free)	Ad-supported listening hours • ad impressions / fill • ad revenue per active user	Business outcome
Monetization (Premium)	Free→premium conversion • premium retention • ARPU • LTV	Business outcome

10.2 Success criteria (directional; baseline & target from M1)

Success criterion	Measured by	Target
Increased listening time	North Star minutes/active user/day, by segment	↑ vs baseline [M1]
Improved stickiness	DAU/MAU; sessions/day; session length	↑ vs baseline [M1]
Stronger retention	D7 / D30 retention; churn	↑ retention; ↓ churn [M1]
Healthier monetization	Ad hours/impressions; free→premium conversion; ARPU/LTV	↑ vs baseline [M1]
Segment equity	Engagement gap across urban/rural, language, tier	Narrowing gaps [M1]

11 Timeline & Milestones

High-level phasing. This BRD is the deliverable for Milestone 2; downstream phases are indicative and out of scope to detail here.

Milestone	Focus	Status
M1 — Research	Market, competitor & user-behaviour analysis; engagement rationale	Complete
M2 — BRD (this)	Problem definition, scope, business framing, KPIs, personas	In review
M3 — Discovery & validation	Test hypotheses (H1–H4); user research; opportunity sizing	Upcoming
M4 — PRD & design	Solution requirements & design (solutions begin here)	Upcoming
M5 — Build & measure	Delivery, experimentation, KPI-tree instrumentation	Upcoming

12 Stakeholders

RACI is indicative for the problem-definition phase (R = Responsible, A = Accountable, C = Consulted, I = Informed).

Stakeholder	Interest in the engagement problem	RACI (M2)
Product Management	Owns problem framing, KPIs, prioritisation	A / R
Design / UX Research	User needs, personas, journeys, JTBD	C / R
Engineering	Feasibility, data efficiency, performance constraints	C
Data / Analytics (BI/DE)	Metrics, KPI-tree instrumentation, baselines	C / R
Marketing / Growth	Acquisition-to-engagement handoff, segments	C
Content & Label Partnerships	Regional-language catalogue & relevance	C
Regional / Localization	Language and cultural relevance	C
Strategy / Leadership	Business outcomes, market strategy, funding	A / I
Customer Support / Ops	Voice-of-customer, friction signals	I

13 Cost & Benefit (Optional, Qualitative)

Cost of inaction	Benefit of solving the engagement problem
Continued low listening time → weak retention → churn to free alternatives; suppressed ad inventory and premium conversion; eroding share-of-ear; under-realised value from a strategic growth market.	Compounding gains: more listening time → stronger retention → higher ad revenue and premium conversion → improved ARPU/LTV and a defensible position in India. Detailed financials to be modelled post-validation [M1/M3] .

14 Glossary

Term	Definition
ARPU	Average Revenue Per User — revenue divided by active users.
BRD	Business Requirements Document — defines the business problem, scope and needs (not solutions).
Churn	Rate at which users stop using the service over a period.

Term	Definition
DAU / MAU	Daily / Monthly Active Users; $DAU \div MAU$ is a common 'stickiness' measure.
JTBD	Jobs-to-be-Done — the underlying 'job' a user 'hires' the product to do.
KPI	Key Performance Indicator.
KPI tree	Hierarchy linking a North Star metric to its input drivers and business outcomes.
LTV	Lifetime Value — total value a user generates over their relationship with the product.
North Star Metric	The single product metric best capturing delivered value (here, time spent listening).
Retention (D1/D7/D30)	Share of users returning 1 / 7 / 30 days after a reference event.
Time spent listening	Cumulative meaningful listening minutes per user over a period.

15 References

Directional market context in this BRD draws on the public sources below and on the reader's Milestone 1 research. **Specific data points should be cited to the exact report/edition and year used in Milestone 1.**

- IFPI — *Global Music Report* (annual): recorded-music revenue, streaming and ad-supported shares, market rankings.
- FICCI-EY — *Indian Media & Entertainment (M&E) Report* (annual): India music/audio streaming trends, subscriptions, digital consumption.
- RedSeer / Redseer Strategy Consultants — India OTT audio / music-streaming market reports.
- Spotify Technology S.A. — investor materials, quarterly shareholder letters and annual reports (engagement, MAU/premium, ARPU context).
- Spotify Newsroom / press — India launch (February 2019) and market announcements.
- Industry/press coverage of Indian streaming competition (JioSaavn, Wynk Music, YouTube Music, Apple Music, Amazon Music).
- [M1] Milestone 1 primary/secondary research (the reader's own sources — insert citations).

16 Appendix

A. Data to validate / populate from Milestone 1

- Spotify India engagement / listening-time baselines by segment.
- Free vs premium split; urban/rural and language mix; device/data profiles.
- Competitor engagement benchmarks (share-of-ear, session metrics).
- Market size, growth, and ARPU figures with citations.

B. Framework mapping (how this BRD applies the required methods)

Method	Where applied in this BRD
Business vs Product Outcomes	§2 (table) and §10 (KPI tree links product→business)
KPI Trees	§10.1 — listening time → retention → monetization
Product Discovery	§6.2 hypotheses & §11 (M3 discovery/validation)
Design Thinking	§5 empathy (personas/journeys) & §6 problem reframing
Persona & Journey Mapping	§5.3 personas; §5.4 journey & pain points
Segmenting Users	§5.2 segment axes (geography/tier/generation/language/context)
Jobs-to-be-Done	§5.2–5.3 (JTBD per persona)
Assumptions & Hypothesis Framing	§6.2 (H1–H4) and §9.1

End of document — BRD v1.0 (Draft for Review). This document intentionally defines the problem space only; solutions and features are addressed in later milestones.